

1. Introduction to Economics

Topic	Learners should be able to
1.1 Main economic groups and factors of production	• explain the role of the main economic groups: consumers, producers and the government, including their interdependence • explain the factors of production: land, labour, capital and enterprise, including how they might be combined
1.2 The basic economic problem	• explain what is meant by scarce resources and unlimited wants • explain the economic problem, including the questions of how resources should be allocated, what, for whom and how goods and services should be produced • explain what is meant by opportunity cost • evaluate the costs and benefits of economic choices, including the impact on economic, social and environmental sustainability.